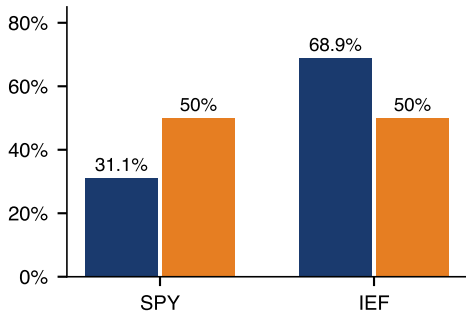
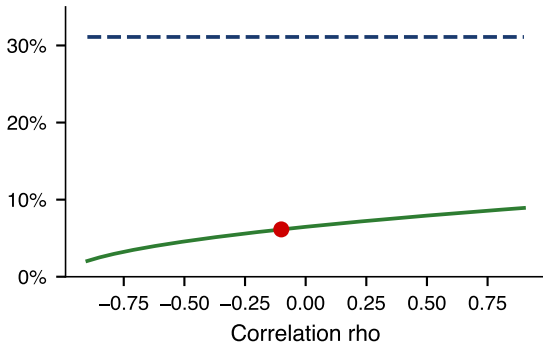


ERC: weights and risk shares



Correlation moves the risk, not the weights



■ Capital weight
■ Share of variance

— ERC volatility
- - ERC weight of SPY

● Actual $\rho = -0.10$: vol 6.14%